

after the 6th year, when they start maturing, you can re-invest them at the prevalent market deposit rates. This makes sure that your rate of return from FDs is reasonably consistent over a period of time.

As a long term investment, Laddering will give you an average return and help prevent your corpus from maturing at the lowest interest rate cycle. This concept of laddering applied to FDs is very similar to the concept of SIP (Systematic Investment Plans) applied to mutual funds or stocks.

Bank Fixed Deposits is one of the easiest and fastest first steps that you can take to start getting better returns as compared to the money kept in your savings account. Let us now look at another extremely popular investment tool to get started with your investments i.e. Recurring Deposits (RDs).

Financial Investment Tools	
Bank Fixed Deposits (FDs)	Superannuation
Bank Recurring Deposits (RDs)	Gold
PPF (Public Provident Fund)	Stocks
EPF (Employee Provident Fund)	Bonds
VPF (Voluntary Provident Fund)	Mutual Funds
National Pension Scheme (NPS)	FMPs (Fixed Maturity Plans) of MFs
Sukanya Samridhi Scheme (SSS)	Commodities
Gratuity	Real Estate

Bank Recurring Deposits (RDs)

Though fixed deposits are the most popular cash based investment tools, there is an alternative version of fixed deposits called recurring deposits. Under a Recurring Deposit (RD) account, a specific amount is invested in a bank on a monthly basis for a fixed rate of return. The deposit has a fixed rate of return, and a fixed tenure, at the end of which the principle sum as well as the interest earned during that period is returned to the investor.